Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION – APRIL 2021

CM616Q - MANAGEMENT ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Write any two advantages of Management Accounting.
2. What is financial statement analysis?
3. What are the uses of Ratio analysis?
4. What are Profitability ratios?
5. What is mean by funds flow Statement?
6. What is working capital?
7. Explain the term 'Budgetary control'.
8. Write any five essential features of budget.
9. What do you mean by performance budgeting?
10. Variable overheads for production of 10,000 units are Rs 60,000. What will be the variable overheads for production of 15,000 units and 20,000 units.

SECTION - B (5 X 5 = 25)

Answer any FIVE Questions

11. Explain the importance of financial statement analysis.

12. Calculate the earning per share from the following data:
    Net profit before tax Rs 1,00,000
    Taxation at 50% of net profit
    10% preference share capital (Rs.10 each) Rs.1,00,000
    Equity share capital (Rs.10 each) Rs. 1,00,000

13. Find out the funds from operations from the details given below:
    Net profit for the year 2016-2017 Rs. 95,000
    Depreciation charged on fixed assets Rs. 42,000
    Profit on sale of long term investments included in the P&L A/c. Rs 13,000
    Goodwill written off Rs 20,000

14. Explain the process of Zero Base Budgeting.

15. Distinguish between the Absorption Costing and Marginal Costing.

16. After taking into consideration the following items x ltd, made a net profit of Rs 1,00,000 for the year ended 31.3.2017.

	Rs.		Rs.
Depreciation on building	4,000	Goodwill written off	5,000
Depreciation on machinery	5,000	Loss on sale of machinery	10,000
Provision for taxation	10,000	Preliminary Expenses	5,000
Gain on sale of buildings	8,000		

Find out cash from operations.

17. With the following data for 60% activity, Prepare a budget for 80% activity:
Materials Rs. 10 per unit,
Wages Rs 6
Factory overheads Rs 6000(20% Fixed)
Administration Overheads Rs 2,400(10% Variable)
Assume that production at 60% activity is 240 units.

18. Calculate Gross Profit Ratio from the following figures:

	Rs.		Rs.
Sales	10,00,000	Purchases	6,00,000
Sales return	1,00,000	Purchase return	1,50,000
Opening stock	2,00,000	Closing stock	65,000

SECTION – C (3×10=30)

Answer any THREE questions

19. The following are the extracts from the Income statements of Bright Ltd for the 6 years. You are required to calculate trend percentages (Base year 2011)

Particulars	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**
Sales	300	340	420	480	520	600
Cost of goods sold	180	204	256	287	300	330
Office Expenses	40	42	45	50	55	60
Selling expenses	20	25	30	40	50	60
Net profit	60	69	89	103	115	150

20. You are given the following information:

Cash	18,000	Creditors	50,000
Debtors	1,42,000	Outstanding expenses	15,000
Closing stock	1,80,000	Tax payable	75,000
Bills payable	27,000		

Calculate (a) Current ratio (b) Liquidity ratio (c) Absolute liquidity ratio.

21. From the following balance sheet of X Ltd. On 31.12.2014 and 2015. You are required to prepare (a) A Schedule of changes in working capital (b) A Fund Flow Statement

Liabilities	2014	2015	Assets	2014	2015
Share capital	1,00,000	1,00,000	Goodwill	12,000	12,000
General Reserve	14,000	18,000	Building	40,000	36,000
Profit & Loss A/c	16,000	13,000	Plant	37,000	36,000
Sundry Creditor	8,000	5,400	Investment	10,000	11,000
Bills Payable	1,200	800	Stock	30,000	23,400
Provision for Taxation	16,000	18,000	Bills Receivable	2,000	3,200
Provision for Doubtful debts	400	600	Debtors	18,000	19,000
			Cash/Bank	6,600	15,200
	1,55,600	1,55,800		1,55,600	1,55,800

The following additional information has also been given: (i) Depreciation charged on plant was Rs 4000 and on building Rs 4000 (ii) Provision for taxation of Rs 19000 was made during the year 2015. (iii) Interim dividend of Rs. 8000 was paid during the year 2015.

22. From the following data forecast the cash position at the end of April, May and June 2016.

Month 2016	Sales Rs	Purchases Rs	Wages Rs	Sales expenses Rs
February	1,20,000	80,000	10,000	7,000
March	1,30,000	98,000	12,000	9,000
April	70,000	1,00,000	8,000	5,000
May	1,16,000	1,03,000	10,000	10,000
June	85,000	80,000	8,000	6,000

Further information:

(i) Sales at 10% realized in the month of sales. Balance equally realized in two subsequent months (ii) Purchases: Creditors are paid in the month following the month of supply. (iii)Wages: 20% paid in arrears in the following month. (iv) Sundry expenses paid in the month itself. (v) Income Tax Rs 20,000 payable in June (vi) Dividend Rs 12000 payable in June.
(vii) Income from Investments Rs 2000 received half-yearly in March and September
(viii) Cash balance on hand as on 1-4-2016 Rs. 40,000.

23. The sales turnover and profit during two years were as follows:

Year	Sales Rs	Profit Rs
2012	1,40,000	15,000
2013	1,60,000	20,000

Calculate: (i) P/V Ratio (ii) Break even point (iii) Sales required to earn a profit of Rs 40,000 (iv) Fixed expenses, (v) Profit when sales are Rs 1,20,000.

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